

Fed's Inflation Gauge Signals CRE's Cost of Capital Is Not Coming Down

A ho
expe
refin
matu

PCE inflation came in hotter than expected last month.

The Fed's preferred gauge rose 0.3% month-over-month, above consensus. Markets now price a higher probability of additional rate hikes this year. For CRE, this means the cost of capital stays elevated longer.

SIGNIFICANCE

This isn't just a macro headline. It directly affects your refinancing math.

When inflation stays sticky, the Fed keeps rates higher.
That means floating-rate debt stays expensive.
Fixed-rate refinancing stays expensive. The window for
cheaper capital isn't opening soon.

Debt costs are now structurally higher than many underwriting models assumed.

A 6.5%+ all-in cost of debt changes the feasibility of many deals. Sponsors who modeled 5.5% or lower are now facing a capital stack that doesn't pencil. The simple version: higher rates mean lower proceeds.

THE REAL QUESTION

Can your current asset cash flow support today's cost of capital?

If NOI hasn't grown enough to cover higher debt service, you have a gap. That gap needs equity, a rate cap extension, or a creative restructuring. Waiting rarely helps.

WHO CARES?

Different parties are watching different signals.

Sponsors are watching their debt yield covenants. Lenders are watching their portfolio exposure. Buyers are watching for forced selling. Each group is adjusting their timeline and pricing assumptions.

MARKET CONTEXT

This is part of a broader pattern: capital is more expensive and more selective.

We're seeing a bifurcation. Strong sponsors with well-located assets still get financed. Marginal assets or operators without a clear story face a much harder path. The market is rewarding quality and patience.

What to watch: the next PCE print and the Fed's September meeting.

If inflation stays hot, expect rates to stay higher for longer. If it cools, we may see a peak. Either way, plan for elevated costs through at least mid-2027. Don't assume a rate cut will save your deal.

THE LESSON

The cost of capital is a fact, not a forecast. Plan accordingly.

At Light Tower Group, we help sponsors and lenders navigate exactly these moments. Whether it's refinancing, restructuring, or raising equity, we bring clarity to the capital stack. Connect with Benjamin Rohr to talk through your situation.